

Apple vs OpenAI

What went so horribly wrong?

—By **Vyom Ramani**

Two years ago, Apple handed OpenAI one of the most valuable prizes in consumer technology: direct access to Siri and iOS. Last week, it accused that same partner of theft in federal court. The collapse of the Apple–OpenAI relationship has been one of the messiest divorces in recent tech history, and it had been brewing for a while. The partnership was unveiled at WWDC 2024, when Apple said it would weave ChatGPT into iOS, iPadOS and macOS, letting Siri hand off questions it could not answer. Craig Federighi demoed friendly use cases like bedtime stories; Sam Altman posted that he was “very happy to be partnering with Apple.” Apple wrapped the deal in privacy protections — users had to consent before a query was sent, IP addresses were hidden, and requests were not stored. For OpenAI it meant distribution at enormous scale; for Apple it was a stopgap while it built its own AI. The arrangement was never equal, and cracks showed early. OpenAI reportedly expected a wave of new subscribers through the tie-up that never materialised, and felt Apple



buried ChatGPT behind convoluted Siri prompts instead of promoting it. By May 2026, Bloomberg reported OpenAI was weighing legal action over poor integration. Apple, meanwhile, was already planning its exit — negotiating with Google to power the next Siri with Gemini models instead. What truly detonated the relationship was OpenAI’s push into hardware. In 2025 it bought io Products, the device startup founded by former Apple design chief Jony Ive, for a reported \$6.5 billion. Tang Tan, a 24-year Apple veteran who worked on the iPhone and Apple Watch, joined as OpenAI’s chief hardware officer, with

the goal of shipping an AI device to rival the iPhone. More alarming to Apple: over 400 of its former employees had drifted to OpenAI. On July 10, Apple sued OpenAI, Tan, io Products and ex-employee Chang Liu in the Northern District of California, alleging a coordinated effort to steal trade secrets. The claims are specific and awkward. Tan allegedly used Apple’s internal code names while recruiting and asked candidates to bring “actual parts” — batteries, logic boards, SIPs — to interviews for “show and tell.” Liu, Apple says, kept an Apple laptop after quitting and exploited a storage-system flaw to access confidential files, then boasted about it to a former colleague. Apple says it wrote to OpenAI in February and got no reply. Now it wants damages and an injunction — timed precisely as OpenAI races towards a hardware launch and an IPO. OpenAI’s only response so far: “We have no interest in other companies’ trade secrets.” Notably, io is a defendant but Ive himself is not. This is not a routine vendor spat. It is Apple watching a partner morph into a rival in the one category it has dominated for two decades — built, in large part, by people it once trained. tinyurl.com/4at43s8x

